



INVESTMENT RATIONALE

- **Substantial Global Market share in the product segment offered** – 16.7% in 3-Point-Linkage-System (3PL) market & 5.9% in Precision Machined Parts (PMP) market in value.
- 3PL is a widely used type of hitch for **attaching ploughs and other implements** to an agricultural or industrial tractor.
- **Demand Scenario in USA (48% Revenue contributor):** In 2021, \$1T infrastructure bill was passed which will boost construction activity in USA, geography that contributes ~48% to topline.
- **Higher domestic Production, led to margin improvement:** The Company successfully increased margins by strategically reducing production in USA facility and transferring it to India and then exporting it, which worked out to be more economical.
- Manufacturing in India provides cost advantage and strategically located warehouse provides just-in-time delivery to OEMs and other customers.
- Usually keeps 3-4months of inventory to **hedge against potential supply chain disruptions**.
- **Good traction** seen from major customers as they shift their business from china to India under China + 1 model which is sustainable for coming 2-3 years at least.
- **Net Borrowings reduced, will lead to drop in interest cost:** Better business led reduction of debt by Rs 650mn in the past 9months bringing, currently net debt stands at ~Rs 420mn
- **Higher Ware-house Sales to improve profitability:** Company is expecting the share of sales through warehouse model (*Highest Margin segment*) to increase to ~47-48% from the current levels of 42% which in turn will have a positive impact on EBITDA level.
- Company plans to do capex of about Rs 400 Mn next year and at the current asset turnover of 2.5x may generate **additional revenue of Rs 1000 Mn**.
- Intend to maintain dividend policy of 25%.

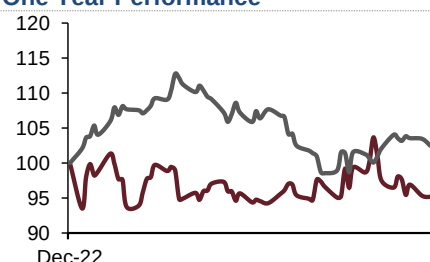
Rating	TP (Rs)	Up/Dn (%)
BUY	641	17

Market data

Current price	Rs	549
Market Cap (Rs.Bn)	(Rs Bn)	25
Market Cap (US\$ Mn)	(US\$ Mn)	303
Face Value	Rs	10
52 Weeks High/Low	Rs	612 / 530
Average Daily Volume	('000)	82
BSE Code		543308
Bloomberg		UNIPARTS.IN

Source: Bloomberg

One Year Performance



— Uniparts India Ltd — Nifty Index

Source: Bloomberg

% Shareholding	Dec-22
Promoters	65.80
Public	34.20
Total	100

Source: BSE

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About the Company

- Incorporated in 1994, Uniparts India Ltd. is a leading manufacturer & Supplier of OHV (Off-Highway Vehicle) to global OEM players, catering primarily to Agriculture and CFM sector.
- Well integrated across the value chain from product conceptualization to testing to custom packaging and delivery.
- 2 core product portfolio includes 3 Point Linkage system (3PL) which contributes ~58% to the revenue and Precision Machine Parts (PMP) contributing ~38% to the revenue.
- Adjacent product verticals include Power Take Off, Hydraulic cylinders, Fabrication.
- Strong long-term relationship with global OEM players in Agriculture and CFM area like TAFE, Bobcat, Yanmar, LS Mtron.
- The company has 6 manufacturing facilities and 4 warehousing location across US, Europe & India with presence in 25 countries.
- Uniparts sales model includes sales through Direct Exports (~33.1%), Local Deliveries (~25.2%) and Warehouse Sales (~41.7%).
- The share of After-market sale is 19% & OEMs is 81%.
- Over 80% of revenue is generated from exports, primary geographies include USA, Europe & Japan.
- Margins at EBITDA levels is higher for sales through warehouse model ~28% whereas Direct Export channel commands a margin of 21% and Local Deliveries has a margin of 10%(Manufactured & Sold in India) & 12% (Manufactured & Sold in USA).

Outlook

- Aims to be **Net-debt free** by Q1FY24.
- There will be improvements in margins going forward as the contribution of sales through warehouse model increases from 41% to about 46-47%. Management expects **200bps-300bps increase in margins**.
- EBITDA margins expected to be range bound within 21-23%.
- Raw Material (Steel) prices softening and ocean freights easing will further boost the margins.
- However company firm to deliver strong PAT.
- Due to improving logistics, shipping time reduced from ~90 days to about 60 days on water leading to additional inventory of 1 month and on top of that due to supply chain disruptions, warehouses had overbooked & overstocked inventory leading to additional inventory of 1.5/2 months which may adversely affect the topline.

Valuation

At the current level of Rs 550, the stock is trading at 15x FY22 / 12x FY23e / 11x FY24e / 10x FY25e EPS and recommend to **Buy** with a **Target Price of 641 (+16.68%)**. There might be some headwinds due to global inflation which will be temporary in nature and will stabilize in the long run. We expect Revenue from Operations/EBITDA/PAT to grow at a CAGR of 9.40%/10.90%/12.23% from 2022-2025 and gross margins to remain stable in the range of 65%-66%. And as the inflation eases we expect the margin to increase further by 200/300 bps. The company plans to be debt-free by Q1FY24 further strengthening the balance sheet. And having strong base of marquee customers with a long term standing relationship will ensure continuous inflow of orders.

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